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SOCIALIST REPUBLIC OF
SRI LANKA**

Part II of April 24, 2026

SUPPLEMENT

(Issued on 29.04.2026)



VALUE ADDED TAX (AMENDMENT)

A

BILL

to amend the Value Added Tax Act, No. 14 of 2002

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STATEMENT OF LEGAL EFFECT

Clause 2 : This clause amends section 2 of the Value Added Tax Act, No. 14 of 2002 (hereinafter referred to as the “principal enactment”), and the legal effect of the section as amended is to extend the date of charging the Value Added Tax (hereinafter referred to as the “VAT”) to July 1, 2026 for services provided through any electronic platform.

Clause 3 : This clause amends section 5 of the principal enactment and the legal effect of the section as amended is to enable the deduction of the Entertainment tax charged under the Entertainment Tax Ordinance (Chapter 267) in determining the value of supply of a film exhibition service for the purpose of VAT.

Clause 4 : This clause amends section 7 of the principal enactment and is consequential to the repealing of Simplified Value Added Scheme.

Clause 5 : This clause amends section 10 of the principal enactment and the legal effect of the section as amended is to reduce the threshold for registration of persons for VAT, and for such to be effective from July 1, 2026.

Clause 6 : This clause amends section 21 of the principal enactment and the legal effect of the section as amended is to facilitate the submission of relevant schedules from the commencement date of the taxable period.

Clause 7 : This clause amends section 22 of the principal enactment and the legal effect of the section as amended is to include provisions for -

- (a) disallowing input credit on plants, machinery, equipment or vehicle imported on re-export basis but have not been re-exported; and
- (b) maintaining records to be a pre-requisite for claiming deemed input credit on unsold stocks of goods as at the date of registration by a person engaged in whole sale or retail trade.

Clause 8 : This clause amends section 25c of the principal enactment and the legal effect of the section as amended is to –

- (a) make necessary consequential amendments in relation to the provisions of emoluments to employees under the relevant provisions of the Inland Revenue Act, No. 24 of 2017; and
- (b) increase the VAT on financial services from eighteen (18) *per centum* to twenty point five (20.5) *per centum*.

Clause 9 : This clause inserts new Chapter IIIC in the principal enactment. The new Chapter provides for the registration and payment of tax on digital services.

Clause 10 : This clause inserts new section 48C of the principal enactment. The new section provides for writing-off the tax which is in default in respect of Tsunami projects.

Clause 11 : This clause amends section 58 of the principal enactment and the legal effect of the section as amended is to make amendments consequential to the repealing of Simplified Value Added Scheme.

Clause 12 : This clause inserts new section 64B to the principal enactment. The new section provides for the use of point of sales machines to ensure proper accounting of the turnover and collection of VAT.

Clause 13 : This clause amends section 66 of the principal enactment and the legal effect of the section as amended is to extend the penal provisions to persons who claim a refund which such person is not entitled to claim.

Clause 14 : This clause amends section 67 of the principal enactment and the legal effect of the section as amended is to extend the penal provisions to persons who provides false or misleading information or documents to claim a refund or fails to furnish required information or documents.

Clause 15 : This clause amends section 68 of the principal enactment and the legal effect of the section as amended is to provide provisions for criminal proceedings for the offences under the principal enactment.

Clause 16 : This clause amends section 73 of the principal enactment and the legal effect of the section as amended is to ensure transparency and to identify tax-compliant entities.

Clause 17 : This clause amends section 83 of the principal enactment and the legal effect of the section as amended is to introduce definitions for certain terms for the purpose of clarity.

Clause 18 : This clause amends Part III of the First Schedule to the principal enactment and the legal effect of the section as amended is to introduce to new item to paragraph (a) and to introduce new paragraph (d) to that Part relating to goods or services to any business identified and approved as a Business of Strategic Importance and the supply of certain services through an electronic platform by a non-resident person, respectively.

Value Added Tax (Amendment)

L.D.- O 33/2025

AN ACT TO AMEND THE VALUE ADDED TAX
ACT, NO. 14 OF 2002

BE it enacted by the Parliament of the Democratic Socialist
Republic of Sri Lanka as follows: -

1. This Act may be cited as the Value Added Tax Short title
(Amendment) Act, No. of 2026.

5 2. Section 2 of the Value Added Tax Act, No. 14 of Amendment
2002 (in this Act referred to as the “principal enactment”) of section 2 of
is hereby amended, in paragraph (c) of subsection (1) the Act, No.14
thereof, by the substitution for the words “with effect from of 2002
October 1, 2025”, of the words “with effect from July 1,
10 2026”.

3. Section 5 of the of the principal enactment is hereby Amendment
amended as follows: - of section 5 of
the principal
enactment.

(1) in subsection (8) thereof, by the substitution for
the words “as the case may be.” of the words, “as
15 the case may be.”;

(2) by the addition immediately after subsection (8)
thereof, of the following proviso: -

20 “Provided that, where a service is
supplied for having a film exhibition on
the issue of tickets, the “Entertainment
tax” charged by a local authority under
the Entertainment Tax Ordinance (Chapter
267) shall be deducted in addition to the
deductions made under this subsection.”.

4. Section 7 of the principal enactment is hereby amended in subsection (1) of that section as follows: -

Amendment
of section 7 of
the principal
enactment.

5 (1) in subparagraph (vii) of paragraph (b) thereof, by the substitution for the words “such overseas buyers.”, of the words and figures “such overseas buyers, prior to October 1, 2025;”;

(2) by the addition immediately after subparagraph (vii) of paragraph (b) thereof, of the following: -

10 “(viii) the provision of services to overseas buyers by a garment buying office registered under the provisions of the Industrial Promotion Act, No. 46 of 1990, so far as such services are provided to a person outside Sri Lanka for payment in foreign currency, with effect from October 1, 2025,”.

15

5. Section 10 of the principal enactment is hereby amended in subsection (1) of that section as follows: -

Amendment
of section 10
of the
principal
enactment.

20 (1) by the substitution in paragraph (viii), for the words and figures “on or after January 1, 2024,”, of the words and figures “on or after January 1, 2024 but on or before June 30, 2026;”;

(2) by the addition immediately after paragraph (ix), of the following new paragraph: -

25 “(x) on or after July 1, 2026, carries on or carries out any taxable activity in Sri Lanka shall be required to be registered under this Act, if-

- 5 (a) at the end of any taxable period, the total value of the taxable supplies of goods or services or goods and services of such person, made in Sri Lanka in that taxable period has exceeded nine million rupees; or
- 10 (b) in the twelve months period then ending, the total value of the taxable supplies of goods or services or goods and services of such person, made in Sri Lanka has exceeded thirty six million rupees; or
- 15 (c) at any time, there are reasonable grounds to believe that the total value of the taxable supplies of goods or services or goods and services of such person, made in Sri Lanka, in the succeeding taxable period, is likely to exceed nine million rupees or in the succeeding twelve months period is likely to exceed thirty six million rupees.”.
- 20
- 25

6. Section 21 of the principal enactment is hereby amended as follows: -

Amendment
of section 21
of the
principal
enactment.

- 30 (1) in the proviso to paragraph (a) of subsection (1) of that section, by the substitution for the words “Commissioner-General deems appropriate.”, of the words “Commissioner-General deems appropriate.”; and

- (2) by the addition immediately after the proviso to paragraph (a) of subsection (1) of that section, of the following new proviso: -

5 “Provided further, that any registered person may furnish schedules referred to in paragraph (b) from the commencement date of the relevant taxable period.”.

7. Section 22 of the principal enactment is hereby amended as follows: -

Amendment of section 22 of the principal enactment.

- 10 (1) by the addition immediately after paragraph (vi) of subsection (6) of that section of the following new paragraph: -

15 “(vii) if the payment of taxes on plants, machinery, equipment or vehicles imported for use in projects under the provisions of this Act has been deferred and such plants, machinery, equipment or vehicles have not been re-exported within one month of the completion of the project.”; and

20

- (2) by the addition immediately after the proviso to subsection (14) of that section, of the following new subsection: -

25 “(15) Notwithstanding anything to the contrary in this section, where any person supplying goods in wholesale or retail trade is registered under this Act for any period commencing on or after April 1, 2026, and if there remains any unsold stocks of goods of such person as at the date of registration

30

which are not specified in the First Schedule,
a deemed input tax shall be allowed to such
person for such taxable period during which
the registration became effective, on account
of such stocks, calculated at such rate as
specified in section 2 and in force at the time
of the acquisition of such goods:

Provided that, such person shall maintain
records in respect of the unsold stocks of
goods referred to in this subsection in such
form and containing such particulars as may
be specified by the Commissioner-General
by Order published in the *Gazette*, and shall
submit such records together with the relevant
return for the taxable period during which the
registration became effective.”.

8. Section 25C of the principal enactment is hereby
amended as follows: -

Amendment
of section 25C
of the
principal
enactment

(1) in subsection (1) of that section, by the repeal
of the words from “Emoluments paid to all the
employees” up to the words and figures “the
Inland Revenue Act, No. 10 of 2006; and” and the
substitution thereof of the following: -

“Emoluments payable to all the employees
shall include -

(a) (i) for any taxable period prior to April
1, 2018, in the case of specified
employees under Chapter XIV of
the Inland Revenue Act, No. 10
of 2006, the gross remuneration

payable to such employees,
as reflected in the pay sheet
maintained under section 119 of
that Act; and

- 5 (ii) for any taxable period commencing
on or after April 1, 2018, any gains
and profits which are required to
be included under subsection (2)
10 of section 5 of the Inland Revenue
Act, No. 24 of 2017 but excluding
the gains and profits specified in
paragraph (b) of subsection (3) of
section 5 of the said Act:

15 Provided that, where any registered
specified institution or other person has
furnished a return under section 25B for any
taxable period ending prior to January 1, 2026,
in compliance with item (i) of this subsection,
such return shall be treated as having been
20 furnished in compliance with this subsection.

For the purpose of this subsection the gain
and profit shall be the fair market value.”.

(2) in subsection (3) of that section –

- 25 (a) by the substitution in paragraph (g) of that
subsection, for the words and figures “on
or after January 1, 2022, shall be eighteen
per centum,” of the words and figures “on
or after January 1, 2022 but ending on or
before June 30, 2026, shall be eighteen *per*
30 *centum*;”;

- (b) by the addition immediately after paragraph (g) of that subsection of the following: -

“(h) commencing on or after July 1,
2026, shall be twenty point five
5 (20.5) *per centum*.”;

- (3) in subsection (5) of that section –

- (a) by the repeal of paragraph (e) of that subsection and the substitution therefor of the following:-

10 “(e) the profit or income on interest
arising or accrued to any
approved provident fund
including the Employees Trust
Fund or a Pension Fund or
15 any thrift, savings or building
society or welfare fund to which
contributions are made by
employees only or any approved
gratuity fund, or the interest
20 income (not being profits from
a business) arising or accruing
to any person other than a
“specified institution” within
the meaning of this Chapter or
25 a person not registered with the
Central Bank of Sri Lanka, but
providing services similar to the
services provided by a finance
company;” and

- 30 (b) in paragraph (f) of that subsection, by
the substitution for the words “services
provided by a finance company;” of the
following: -

“services provided by a finance company.

For the avoidance of doubt, it is stated that the dividend income received by a person, who is not a specified institution or whose business income is not earned by supplying any services specified in paragraph (a), (b), (c), (d), (g) or (h) of section 25F, shall not be treated as profit from business;”.

9. The following Chapter is hereby inserted immediately after Chapter IIIB of the principal enactment and shall have effect as Chapter IIIC of the principal enactment: -

Insertion of new Chapter IIIC in the principal enactment

“CHAPTER IIIC

REGISTRATION AND PAYMENT OF TAX ON DIGITAL SERVICES

Persons making digital services to be registered

25L. (1) Notwithstanding anything to the contrary in section 10, a non-resident person who supplies services through an electronic platform to a person in Sri Lanka (hereinafter referred to as the “digital services”) shall be required to be registered under this Act, if –

(a) on or after July 1, 2026, the total value of the supply of such services, within the twelve months period then ending has exceeded thirty six million rupees or an equivalent to that in any other currency; or

5 (b) for any quarter commencing on or
 after July 1, 2026, the total value
 of the supply of such services, for a
 quarter exceeds or is likely to exceed
 nine million rupees or its equivalent
 in any other currency.

10 (2) Every person who is required to be
 registered under subsection (1), shall make an
 application for registration electronically in the
 form specified by the Commissioner-General
 not later than three months, from the date on
 which such person is required to be registered
 or from the date on which the Commissioner-
15 General has specified such form, whichever
 comes later.

20 (3) Upon receipt of the application under
 subsection (2), the Commissioner-General shall
 register a non-resident person who complies
 with the requirements specified in subsection
 (1) (hereinafter referred to as the “registered
 non-resident digital service provider”) and
 issue a Certificate of Registration.

(4) The Certificate of Registration -

25 (a) shall include the name and address,
 country of residence, the effective
 date of registration and the Value
 Added Tax registration number and
 other relevant details of the registered
 non-resident digital service provider,
30 as may be necessary to identify the
 person and the location; and

(b) may be issued either electronically or in writing.

5 (5) Where two or more of the following conditions are satisfied, based on information available to, or obtained by, the non-resident digital service provider in the course of supplying such services, a recipient of digital services shall be deemed to be a person in Sri Lanka: -

10 (a) the billing, residential or business address of the recipient is in Sri Lanka;

15 (b) the payment for such digital services is made through a bank or financial institution in Sri Lanka;

(c) the payment instrument used for the transaction is issued in Sri Lanka; or

20 (d) the internet protocol address of the device used by the recipient is located in Sri Lanka.

Cancellation
of registration
of digital
service
providers

25M. (1) The Commissioner-General shall cancel the registration -

25 (a) where it is found that the registered non-resident person is not eligible to be registered under section 25L;

(b) where the supplying of services has ceased for more than six months; or

(c) where the total value of the supply of digital services does not exceeded the value set out in section 25L for two consecutive taxable periods.

5 (2) Where the registered non-resident
digital service provider has ceased to supply
digital services or the total value of the supply
of digital services is not exceeded the value set
out in section 25L for two consecutive taxable
10 periods and such service provider makes a
request to the Commissioner-General to cancel
the registration within thirty days from the date
of such cessation or from the date of expiration
of such consecutive taxable periods, as the case
15 may be, and if the Commissioner-General is
satisfied on the request made in that behalf, he
may cancel the registration.

 (3) Where a registration is cancelled under
subsection (1), the Commissioner-General
20 shall notify the digital service provider such
cancellation with the effective date and the
reasons for such cancellation.

Supply
of digital
services by
25 persons to
non-resident
persons
 25N. (1) Notwithstanding the provisions
of section 2 and this Chapter, the tax imposed
under paragraph (c) of subsection (1) of section
2, shall not be charged on or collected for the
supply of services made by a non-resident
person through an electronic platform, where
the recipient of such services is a registered
30 person under this Act:

 Provided that, where a registered non-
resident digital service provider has charged or

collected tax for the supply of digital services, such service provider shall refund the tax so charged or collected to the recipient of such supply of services:

5 Provided further, where the service provider is unable to refund the tax so charged or collected as the tax had been remitted to the Commissioner-General, in such instance the following provisions shall be applicable to the
10 tax so charged or collected: -

 (a) such tax if paid by a registered person to the registered non-resident digital service provider in respect of the supply of digital services shall
15 be deemed to be input tax, and such registered person shall be entitled to deduct such input tax from the output tax, to the extent allowable under section 22 of this Act;

20 (b) for the purpose of claiming input tax, an invoice issued by a registered non-resident digital service provider to such registered person, which separately specifies the Value Added
25 Tax charged, shall be treated as a valid tax invoice.

 (2) Where a supply of services is excluded from the charge of tax under subsection (1), the non-resident person making such supply shall, furnish to the Commissioner-General a simplified statement containing particulars
30 of supplies made to registered persons in the

prescribed manner and within the prescribed period.

(3) The statement referred to in subsection (2) shall be limited to the following particulars only: -

(a) the date of payment or the invoice date, as the case may be;

(b) the taxpayer identification number of the recipient;

(c) the name of the recipient;

(d) the value of the supply;

(e) invoice number; and

(f) description of the service supplied.

(4) Where any person fails to comply with the provisions of subsection (2), the Commissioner-General may –

(a) impose on such person a penalty of a sum not exceeding fifty thousand rupees, and give notice in writing or by electronic means to such person of the imposition of such penalty;

(b) give notice in writing or by electronic means to such person to-

(i) pay such penalty; and

- (ii) comply with the provisions of subsection (2) within such period as may be specified in such notice.

5 (5) The Commissioner-General may reduce or annul any penalty imposed on any person under paragraph (a) of subsection (4) if such person proves to the satisfaction of the Commissioner-General that his failure to
10 comply with the provisions of subsection (2) was due to circumstances beyond his control and that he has subsequently complied with such provisions.

15 The time, value and manner of supplying of digital services **250.** (1) The time and value of supply of digital services shall be determined in accordance with the provisions of sections 4 and 5.

20 (2) The Commissioner-General may prescribe the manner of registration and keeping records for the purposes of this Chapter.

25 Payment of tax on digital services **25p.** (1) The tax payable in respect of any taxable period by a registered non-resident digital service provider shall be paid to the Commissioner-General in accordance with section 26 -

30 (a) by electronic remittance through the online system of the Department of Inland Revenue or through such other electronic payment facility as may

be approved by the Commissioner-General;

5 (b) in Sri Lankan rupees or in such foreign currency as may be permitted by the Commissioner-General, remitted to a bank account designated for that purpose;

10 (c) either directly by the non-resident digital service provider or through a representative appointed for that purpose.

(2) The Commissioner-General may specify the procedures and requirements for such payment.

15 Returns and communication **25Q.** (1) Every registered non-resident digital service provider shall file a return for each taxable period as specified in section 21 by an electronic means.

20 (2) All notices, documents or other information shall be served to the non-resident person by an electronic means.

(3) Every registered non-resident digital service provider shall account for the tax charged under this Act on an invoice basis.

25 (4) Any variation arising from the conversion of foreign currencies into Sri Lanka rupees shall be disregarded for the purpose of submission of returns, and such variance shall

not be deemed as a tax in default or refund for the purpose of this Act.”.

- 10.** The following new section is hereby inserted immediately after section 48B of the principal enactment and shall have effect as section 48C of that enactment:-

Insertion of new section 48C in the principal enactment

- “Write off tax in default in respect of tsunami relief projects
- 48C.** The Commissioner-General shall write off tax in default under this Act of a registered person as per the records of the Commissioner-General, in respect of taxable supplies made with regard to the tsunami relief projects and where the payment of tax for such supplies under this Act had been undertaken by the Government of Sri Lanka.”.

- 11.** Section 58 of the principal enactment is hereby amended as follows: -

Amendment of section 58 of the principal enactment

- (1) in the first proviso to subsection (1) of that section, by the substitution for the words and figures “referred to in paragraphs (a), (b), (c), (d) or (e) of subsection (5) of section 22”, of the words and figures “referred to in paragraphs (a), (b), (c), (d), (e) or (f) of subsection (5) of section 22”;
- (2) by the addition immediately after subsection (4) of that section, the following new sub-section-

- “(5) Where any officer authorized by the Commissioner-General, has made a refund under Risk Based Refund Scheme in terms of subsection (5) of section 22 and in accordance with the guidelines issued by the Commissioner-General, shall be deemed to have acted with due authority

and such refund shall be deemed to have been, and to be validly made and such officer is indemnified against all actions civil or criminal, in respect of such refund.”.

- 5 **12.** The following new section is hereby inserted immediately after section 64A of the principal enactment and shall have effect as section 64B: -

Insertion of
new section
64B in the
principal
enactment

“Use of
secured point
of sales
machines

10 **64B.** (1) Every registered person shall use secured point of sale machines for all the transactions, issuance of invoices and to manage and maintain records in respect of the taxable activities carried out by him in the manner as may be prescribed, within three months from the date so prescribed.

15 (2) For the purpose of this section “secured point of sale machine” means an electronic device or system, approved by the Commissioner-General in the manner prescribed, which is used by a registered

20 person for the purpose of recording the supplies of goods or services, generating invoices or receipts, and capturing transaction data in real time, so as to ensure proper accounting of turnover and the collection and remittance

25 of the Value Added Tax in accordance with the provisions of this Act and any regulations made thereunder.”.

- 13.** Section 66 of the principal enactment is hereby amended as follows:-

Amendment of
section 66 of
the principal
enactment

- 30 (1) by the renumbering of that section as subsection (1) of that section;

- 5 (2) in the renumbered subsection (1) of that section
by the substitution for all the words from “to
attempt to evade “ to the end of that subsection,
of the words “ to attempt to evade tax or willfully
and fraudulently claims or attempt to claim a
refund or assists any other person to willfully and
fraudulently claim or attempt to claim a refund for
which the person is not entitled, shall be guilty of
10 an offence under this Act, and shall be liable, after
summary trial before a Magistrate, to a fine of a
sum or an imprisonment or both as specified in
subsection (2) or subsection (3), as the case may
be.”; and
- 15 (3) by the addition immediately after the renumbered
subsection (1) of that section, of the following
new subsections: -

“(2) For any period prior to October 1, 2025-

- 20 (a) a sum equal to twice the amount
of tax so evaded or attempted to be
evaded for which he is liable under
this Act for the taxable period in
respect of which the offence was
committed; and

- 25 (b) a sum not exceeding twenty five
thousand rupees or to imprisonment
of either description for a term not
exceeding six months or to both
such fine and imprisonment.

- 30 (3) For any period commencing on or after
October 1, 2025-

- (a) a sum equal to twice the amount
of tax so evaded or attempted

to be evaded for which he is liable under this Act or obtains or attempt to obtain a refund by fraud, misrepresentation, or by providing false or misleading information or documents, or by the concealment of any material fact for the taxable period in respect of which the offence was committed; and

5

10

(b) a sum not exceeding one million rupees or to imprisonment of either description for a term not exceeding six months or to both such fine and imprisonment.”.

15

14. Section 67 of the principal enactment is hereby amended as follows:-

Amendment of
section 67 of
the principal
enactment

(1) by the insertion immediately after paragraph (n) of that section, of the following new paragraphs-

20

“(o) obtains or attempts to obtain a refund of tax by fraud, misrepresentation, or the provision of false or misleading information or documents, or by the concealment of any material fact; or

25

(p) fails to furnish valid tax invoices or customs good declarations or other authenticated documents as required under section 21.”;

30

(2) in that section, by the substitution from the words, “shall be guilty of an offence under this Act,” to the end of that section of the following words and figures-

“shall be guilty of an offence under this Act,
and-

- 5 (i) for any period prior to October 1,
2025, shall be liable, on conviction
after summary trial before a
Magistrate, to a fine not exceeding
twenty five thousand rupees, or to
imprisonment of either description
10 for a term not exceeding six months
or both such fine and imprisonment:
and
- 15 (ii) for any period on or after October
1, 2025 shall be liable, on
conviction after summary trial
before a Magistrate, to a fine not
exceeding one million rupees, or to
imprisonment of either description
for a term not exceeding six
months or both such fine and
20 imprisonment.”.

15. Section 68 of the principal enactment is hereby
repealed and the following section is substituted therefor: -

Amendment of
section 68 of
the principal
enactment

“Criminal
proceedings

68. (1) The Commissioner-General may
investigate any offence under this Act.

25 (2) The Attorney-General or a delegate
authorized by the Attorney-General shall
prosecute any person who commits an offence
under this Act. Such criminal proceedings shall
be initiated in the name of the Commissioner-
30 General.

(3) Proceedings under this Act shall not
affect criminal proceedings that may be
brought under any other written law.

(4) Where, in respect of a single act, omission or course of conduct, a person is convicted for more than one offence under this Chapter -

- 5 (a) the maximum term of imprisonment imposed for the offences shall not exceed a term of five years; and
- 10 (b) the person shall not subsequently be prosecuted for additional offences in relation to the same act, omission or course of conduct.

(5) No penalty shall be payable under Chapter XII in respect of an act, omission or in the course of the conduct by a person where: -

- 15 (a) the person has been convicted of an offence under this Act in respect of the same act, omission or course of conduct; or
- 20 (b) the offence has been compounded by the Court with the consent of the Commissioner-General.

(6) Proceedings under this Act may commence where the offence alleged involves: -

- 25 (a) the doing of an act, within twelve years from the doing of the act;
- (b) the failure to do an act, within twelve years from the date on which the act

was required to be done, or within three years from the date on which the Commissioner-General first becomes aware of such failure, whichever occurs prior; or

(c) where the offence alleged involves the non-disclosure or misrepresentation of information relating to a person's liability to tax, within three years from the date on which the person's correct tax liability for the relevant taxable period is finally determined under this Act.”.

16. Section 73 of the principal enactment is hereby
15 amended by the insertion immediately after subsection (1)
of that section of following new subsection: -

Amendment of
section 73 of
the principal
enactment

“(1A) Notwithstanding anything contrary in subsection (1), the name, address and tax registration number assigned to a registered person and the status of such tax registration shall be published by the Commissioner-General for the purpose of facilitating the administration and enforcement of the provisions of this Act and any other relevant written law, ensuring public transparency, enabling the identification of tax-compliant entities, and for the purpose of section 25N of this Act.”.

17. Section 83 of the principal enactment is hereby
amended as follows:-

Amendment of
section 83 of
the principal
enactment

(1) by the insertion immediately after the definition of the expression of “educational services” of the following definition:-

5 ““electronic platform” means, any online
 system, website, mobile application,
 or other digital interface operating
 through the internet that enables one
 or more service providers to supply
 services to service recipients;”;

- (2) by the repeal of the definition of the expression
“eligible exporter” and the substitution therefor of
the following definition: -

10 ““eligible exporter” means, a registered
 person whose value of zero-rated
 supplies as specified under section
 7, during the preceding calendar year
 was greater than fifty percent of the
15 total value of supplies made by that
 person during the same period;”;

- (3) by the insertion immediately after the definition
of the expression of “executor” of the following
definition: -

20 ““fixed place” means, a place that is at
 the disposal of a person and from
 which the person, using human and
 technical resources located at that
 place, regularly supplies services or
25 receives and uses services for the
 purposes of that person’s business
 activities;”;

- (4) by the insertion immediately after the definition
of the expression of “Minister” of the following
30 definitions: -

““marketplace in relation to educational courses” means an educational or training program offered on a digital platform that serves as a centralized hub connecting multiple independent instructors or educational institutions with learners;

“non-resident person” means, any person who occasionally or otherwise undertakes transactions involving supply of services, whether as principal or agent, but who has no fixed place of business in Sri Lanka, and does not include a person registered under section 10, where such person carries on or carries out a taxable activity in Sri Lanka without a fixed place of business but having an agent to act on behalf of such person as referred to in section 55;”; and

(5) by the substitution, in paragraph (a) of subsection (3) of the definition of the expression “taxable period” as follows: -

(a) in subparagraph (ii), for the words and figures “subsection (7) of section 22;”, of the words and figures “subsection (7) of section 22 during the project implementation period;”; and

(b) in subparagraph (iii), for the words “First Schedule to this Act during the project implementation period or any specified project” of the words “First Schedule to this Act or any specified project”.

18. The First Schedule to the principal enactment is hereby amended in Part III thereof as follows: -

Amendment
of the First
Schedule of
the principal
enactment

- (1) in paragraph (a) of that Part, by the addition immediately after item (xi) of the following new item: -

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“(xii) goods or services to any business identified and approved as a Business of Strategic Importance having regard to the national interest or in the advancement of the national economy, in accordance with the provisions of section 52 of the Colombo Port City Economic Commission Act, No. 11 of 2021 and the regulations made thereunder.”;

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- (2) by the addition immediately after paragraph (d) of that Part, the following new paragraph: -

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“(e) supply of the following services through an electronic platform by a non-resident person-

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(i) educational services including online courses, seminars, training, digital education platforms, virtual classrooms, learning management systems and courses in marketplaces;

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(ii) healthcare services including online consultations, digital prescriptions, AI-assisted diagnostic, digital health tracking and telemedicine;

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(iii) services supplied to an organization or to the diplomatic missions to the extent specified under any relevant written laws or in accordance with any written agreement entered into with or on behalf of the Government of Sri Lanka.”.

19. In the event of any inconsistency between Sinhala and Tamil texts of this Act, the Sinhala text shall prevail.

Sinhala Text
to prevail in
case of
inconsistency

